

Question No: 1 (Marks: 1) - Please choose one

A Balance Sheet discloses the financial position of a firm:

- ▶ For a given period
- ▶ On a particular point of time
- ▶ On quarterly basis
- ▶ None of the given options

Question No: 2 (Marks: 1) - Please choose one

Cost of sales is equal to:

- ▶ Opening stock - Closing stock + Purchases - Return outwards
- ▶ Sales - Purchases
- ▶ Purchases - Return out + Closing stock
- ▶ None of the given options

Question No: 3 (Marks: 1) - Please choose one

A loss will be considered as capital loss if it:

- ▶ Relates to fixed assets
- ▶ Arises due to abnormal reasons
- ▶ Represents the withdrawal of capital
- ▶ None of the given options

Question No: 4 (Marks: 1) - Please choose one

An expenditure will be considered as capital expenditure if:

- ▶ The amount is paid in lump sum
- ▶ It is intended to benefit the current period
- ▶ It is intended to benefit the future period
- ▶ All of the given options

Question No: 5 (Marks: 1) - Please choose one

A written evidence in support of a business transaction is called:

- ▶ A business letter
- ▶ Store ledger card
- ▶ Voucher
- ▶ All of the given options

Question No: 6 (Marks: 1) - Please choose one

Under diminishing balance method, depreciation is calculated on:

- ▶ The original cost
- ▶ The scrap value
- ▶ Book value
- ▶ None of the given options

Question No: 7 (Marks: 1) - Please choose one

The books of account in which business transactions are originally recorded in chronological order is known as:

- ▶ Ledger
- ▶ Journal
- ▶ Trial Balance
- ▶ Balance sheet

Question No: 8 (Marks: 1) - Please choose one

A firm purchased marketable securities for Rs. 10,000. What would its effect be on working capital?

- ▶ Increased by Rs. 10,000
- ▶ Decreased by Rs. 10,000

▶ Increased by Rs. 20,000

▶ Remain unchanged

Question No: 9 (Marks: 1) - Please choose one

If the profit is 25% of the cost price then it would be:

▶ 25% of the sale price

▶ 33% of the sale price

▶ 20% of the sale price

▶ None of the given options

Question No: 10 (Marks: 1) - Please choose one

Current liabilities are such obligations which must be paid within:

▶ One year

▶ Two years

▶ Three years

▶ Five years

Question No: 11 (Marks: 1) - Please choose one

Book-keeping and accounting are synonymous terms.

▶ True

▶ False

Question No: 12 (Marks: 1) - Please choose one

The Accounting Equation is based on going concern concept of Accounting.

▶ True

▶ False

Question No: 13 (Marks: 1) - Please choose one

The ledger is the book of original entry.

▶ True

► False

Question No: 14 (Marks: 1) - Please choose one

Balance Sheet is the other name of Profit and Loss Account.

► True

► False

Question No: 15 (Marks: 1) - Please choose one

Capital expenditures incurred irregularly.

► True

► False

Question No: 16 (Marks: 5)

If:

- | | |
|-------------------------------------|------------|
| • Opening inventory of Raw Material | Rs. 20,000 |
| • Closing inventory of Raw Material | Rs. 10,000 |
| • Purchases | Rs. 40,000 |
| • Direct Labour Cost | Rs. 10,000 |
| • Factory overhead Cost | Rs. 20,000 |

Then find:

1. Prime cost
2. Conversion cost

Question No: 17 (Marks: 5)

If:

- Original cost of machinery Rs. 140,000
- Salvage Value Rs. 40,000
- Estimated useful life is 10 years

Then:

Find the annual value of depreciation using the straight line method and the value of machinery at the end of 2nd year.

Question No: 18 (Marks: 15)

From the following Trial Balance extracted from the Rehman & Sons, prepare a Profit and Loss Account for the year ended 31st December, 2006 and a Balance Sheet as at that date.

Particulars	Rs.	Rs.	
Sales		204,000	
Capital		120,000	
Bank over Draft		103,560	
Sundry Creditors		120,000	

Stock 1.1.2006	60,400		
Purchases	231,600		
Sundry Debtors	109,660		
Returns Inward	3,640		
General Expenses	6,980		
Plant	22,620		
Wages & Salaries	16,740		
Building	50,000		
Cash in Hand	680		
Cash at Bank	8,720		
Drawings	16,960		
Motive Power	2,300		
Dock & Clearing Charges	1,300		
Coal, Gas, Water	1,700		
Salaries	9,820		
Interest on Over Draft	4,440		
Total	547,560	547,560	
Closing Stock has been valued at Rs.40,000			